

**BEFORE THE
FEDERAL MARITIME COMMISSION**

Docket No.: 16-16

MAVL CAPITAL, INC.,
IAM & AL GROUP INC., and MAXIM OSTROVSKIY,

Complainants,

– vs. –

MARINE TRANSPORT LOGISTICS, INC. and DIMITRY ALPER,

Respondents.

COMPLAINANTS' STATUS REPORT

Complainants herein submit this Status Report to make the Commission aware of changes in status regarding the above captioned matter as it pertains to Complainants' pending Exceptions to the Presiding Officer's Initial Decision of January 17, 2017, which partially dismissed the Complaint with respect to complainants' 2006 Mercedes SL65.

The Commission may recall that the Presiding Officer found that Complainants failed to establish that a contract of carriage existed between the parties for the ocean transport of said automobile. As set forth below, complainants respectfully submit the following information recently obtained during the course of litigation in a separate matter which involves the Mercedes, and which may be relevant to the issue of respondents having sold said automobile under the pretense of a maritime lien for monies allegedly due and owing for services unrelated to the ocean carriage of said automobile, in violation of the Shipping Act of 1984.

The Commission may recall that Complainants' Status Reports of June 21, 2017, September 6, 2017 and December 19, 2018 explained that there is currently litigation ongoing in Federal Court regarding the very same automobiles that are at issue herein (to wit: a Mercedes and Porsche), in the

U.S. District Court for the District of New Jersey, captioned as *World Express & Connection, Inc. v. Crocus Investments, LLC et al.*, U.S.D.C. -- D.N.J. Docket No.: 2:15-cv-08126-KM-MAH.

A change in status in this matter that may be relevant for the Commission is with regard to the recently filed Motion for Summary Judgment in *World Express, supra*, which was filed by World Express & Connection, Inc., Marine Transport Logistics, Inc., and others (not including Mr. Alper), as well as the Cross-Motion for Summary Judgment filed by Crocus Investments, LLC, Crocus FZE, Alexander Safanov, and Middle East Asia Alfa FZE.

As set forth in detail below, the parties have filed Statements of Fact and Counter-Statements of Fact as they pertain to the motion and cross-motion, and are cited, in part, to the extent that they contain assertions by MTL that: a) "...MTL did not sell or dispose of any of the subject vehicles, rather, these vehicles were shipped and delivered to the Crocus parties, namely Mr. Safonov..."; and b) the subject Mercedes and Porsche were delivered to an entity in Dubai, which MTL asserts was "lawfully entitled to receipt of the vehicles" (to wit: Middle East Asia Alfa FZE a/k/a/ "MEAA") - - this is contradicted by MEAA's owner, Mr. Safonov who explains that MEAA never purchased nor owned these cars and that MEAA's only involvement with this vehicle was repair and storage in Dubai.

Furthermore, during discovery in an FMC proceeding (to wit: FMC Docket No.: 15-04 captioned as *Crocus Investments, LLC et al. v. Marine Transport Logistics, Inc. et al.*), respondent, Solovyev testified in a deposition with regard to the cars that: "It was a customer who was shipping [the Porsche] and Mercedes...". On this specific issue, there is no evidence that complainants herein ever knew MEAA and/or Mr. Safonov nor that complainants nor Mr. Safonov ever requested that the cars be delivered to "...the Crocus parties, namely Mr. Safonov".

The Commission may also recall that the Presiding Officer found that Complainants failed to establish that a contract of carriage existed between the parties for the ocean transport of the Mercedes. On this basis, the Presiding Officer dismissed complainants' claims regarding the

Mercedes by explaining that the car was “converted” *prior* to its export overseas, and that thus no contract of carriage existed with regard to same. As set forth herein, MTL now explains that with regard to the subject Mercedes and Porsche “...there was no confiscation or conversion” and “...MTL did not sell or dispose of any of the subject vehicles...”.

I. MTL Has Now Admitted And Agreed That The Subject Mercedes Was Delivered By Complainants “...To Be Shipped By MTL...”

In her deposition, Raya Bakhirev testified that the World Express Vehicle Receipt for the subject Mercedes was not a fraudulent document, and that it is a warehouse receipt and that World Express accepted vehicles from customers to be shipped by MTL:

Q. So is your position that this is not a real or fraudulent document from WEC?¹

A. I think that this is a real document, but as regard to this note, but I believe that this is a real document. This is not a fraudulent document. But that individual might have made a mistake because *customers bring cars to be shipped by MTL...*

See, Extract of Third Party Plaintiffs’ Supplemental Statement of Disputed Material Facts in the matter of *World Express & Connection, Inc. v. Crocus Investments, LLC et al.* -- U.S.D.C. – D.N.J., 2:15-cv-08126-KM-MAH, annexed hereto as Appendix “A”, at ¶ 53.² See also, Complainants’ Status Report of December 19, 2018 in this matter at page “3” (Docket No. 45 on this Docket) and footnote “2” thereof.

¹ The warehouse receipt (document) that Ms. Bakhirev was being questioned on was marked as Exhibit “7” during her November 15, 2017 deposition at p. 86/ln. 10-12. Raya Bakhirev’s deposition transcript and the subject warehouse receipt were included as Appendix “A” and “B-1” to Complainants’ Status Report of December 19, 2018 (Docket No. 45 on this Docket).

² In order to avoid burdening the Commission with voluminous filings, an **Extract** of Third Party Plaintiffs’ Supplemental Statement of Disputed Material Facts, as well as Plaintiff/Third-Party Defendants’ Counter-Statement Response to Defendants/Third-Party Plaintiffs’ Statement of Material Facts in the matter of World Express, *supra* is being provided herewith. These documents are listed on the District Court’s Docket as ECF Nos.: 173-3 and 180, and the complete filings will be provided, if necessary, upon request by the Commission.

Respondents herein have not disputed said allegations. See, Extract of Plaintiff/Third-Party Defendants' Counter-Statement Response to Defendants/Third-Party Plaintiffs' Statement of Material Facts in the matter of *World Express, supra*, annexed hereto as Appendix "B", at ¶ 53.³

II. MTL Has Now Admitted And Agreed That Mr. Alper Testified That Customers Of MTL Were Allowed To Verbally Provide Shipping Instructions For Export Of Automobiles

In his deposition, Dimitry Alper testified that customers of MTL were allowed to verbally provide shipping instructions for export of automobiles:

- A. As far as I remember, this was the policy throughout my time there. If you're a first-time customer, you fill out something along the lines of a new client registration form, just your basic information, name, address, stuff like that, tax ID. And then you fill out an order form, which also doubles as a Power of Attorney that you allow MTL to ship your car on your behalf, from where to where, who the contact will be, value of the car, VIN number, et cetera.

- Q. Can an order be placed verbally or only written at MTL in your experience?

- A. From my experience, it could be placed verbally. It shouldn't be, but it was.

- Q. How was it done verbally?

- A. A client can come in talk to somebody, call somebody at the company. Once again, I try to stay away from that, but I know it's happened.

See, Appendix "A", at ¶ 54 and Mr. Alper's Deposition Transcript at p. 19/ln. 7-16, 21-25; p. 20/ln. 1-3. See also, Complainants' Status Report of December 19, 2018 in this matter at pages 5-6.⁴

Respondents herein have not disputed said allegations. See, Appendix "B", at ¶ 54.

³ See, Footnote "2".

⁴ In order to avoid burdening the Commission with voluminous filings, the extract of Mr. Alper's Deposition Transcript of January 31, 2018 was already provided as Appendix "D" to Complainants' Status Report of December 19, 2018 (Docket No. 45 on this Docket).

III. MTL Has Now Admitted And Agreed That With Regard To The Subject Mercedes And Porsche That There Was No Confiscation Or Conversion Of The Cars

Third Party Plaintiffs' Supplemental Statement of Disputed Material Facts in the matter of *World Express, supra*, explains, at paragraph "62" thereof as follows:

"The Porsche and Mercedes were owned by Maxim Ostrovskiy and IAM&AL Group at the time that MTL confiscated said vehicles from Maxim Ostrovskiy and IAM&AL Group - - at no time were said vehicles ever part of Copart's inventory nor were they ever."

See, Appendix "A", at ¶ 62.

Plaintiff/Third-Party Defendants' Counter-Statement Response to Defendants/Third-Party Plaintiffs' Statement of Material Facts in the matter of *World Express, supra*, explains, at paragraph "62" thereof as follows:

Disagree. Same objection is in #48 above, and without waving such objection, the following is MTL's response. This statement says "The Porsche and Mercedes were owned by Maxim Ostrovskiy and IAM&AL Group at the time that MTL confiscated said vehicles from Maxim Ostrovskiy and IAM&AL Group..." ***There was no confiscation or conversion.*** In the verified complaint (verified by non-party Maxim Ostrovskiy), he says: "The respondents unlawfully converted this vehicle for the purposes of shipping it overseas and selling it for profit."...However, in another filing under the same docket (Complainant's Reply), Mr. Ostrovskiy (via Mr. Nussbaum) says: "it remains undisputed that the respondents shipped complainants' Mercedes to Dubai, under complainants' original title and then claimed to have executed a lien on said vehicle, allegedly pursuant to the terms and conditions of the MTL Bill of lading."...Additionally, there is no ownership certificate, and Mr. Nussbaum does not point to any, that the subject vehicles were owned by Maxim Ostrovskiy and IAM&AL Group.⁵

See, Appendix "B", at ¶ 62. (Emphasis added).⁶

⁵ The full text of Plaintiff/Third-Party Defendants' "Objection" in paragraph "48" of their Counter-Statement Response to Defendants/Third-Party Plaintiffs' Statement of Material Facts in the matter of *World Express, supra*, can be found on the Court's Docket at ECF 180 at page "6" through "9" thereof.

⁶ Respondents' recent revelation is in stark and marked contrast to the findings of fact and conclusions thereof made by the Presiding Officer in the Initial Decision, for example where the Initial Decision explains, on page "21" that: "The Commission does not have jurisdiction to adjudicate the allegation that MTL violated New Jersey by converting the Mercedes. Therefore, the claims regarding the Mercedes are dismissed with prejudice" and where the Initial Decision explains, on page "27" that: "Because the claims involving the alleged conversion of the 2006 Mercedes SL65 do not involve international ocean transportation, the Commission lacks subject matter jurisdiction to hear the claims. Accepting as true the facts alleged in the Complaint and the Ostrovskiy Certification, Complainants fail to state a claim for relief for violation of the Shipping Act regarding the 2006 Mercedes SL65...Any amendment of the claims would not cure the discussed defects."

IV. MTL Has Now Admitted And Agreed That With Regard To The Subject Mercedes And Porsche That They Did Not Sell Or Dispose Of Any Of The Subject Vehicles

Third Party Plaintiffs' Supplemental Statement of Disputed Material Facts in the matter of *World Express, supra*, explains, at paragraph "72" thereof as follows:

As of August 14, 2015, MTL continues to perpetuate its fraud despite having already sold and disposed of the Mercedes and Porsche, having sent an email to Maxim Ostrovskiy from "Management" of MTL, explaining that monies are still due and owing and stating that his "cargo shall be auctioned as abandoned to cover above mentioned fees as well as storage and handling."

See, Appendix "A", at ¶ 72.

Plaintiff/Third-Party Defendants' Counter-Statement Response to Defendants/Third-Party Plaintiffs' Statement of Material Facts in the matter of *World Express, supra*, explains, at paragraph "72" thereof as follows:

Denied. ***MTL did not sell or dispose of any of the subject vehicles, rather, these vehicles were shipped and delivered to the Crocus parties, namely Mr. Safonov.*** Mr. Safonov admitted to receiving these vehicles in Dubai.

See, Appendix "B", at ¶ 72. (Emphasis added).

While respondents explain that these vehicles were shipped and delivered to the Crocus parties, namely Mr. Safonov, he explains in two separate Certifications cited below that he never purchased them and that MEAA's only involvement with this vehicle was repair and storage in Dubai:

"At no time did MEAA ever purchase the subject Mercedes from respondents..."⁷

"...MEAA's only involvement with this vehicle was repair and storage in Dubai."⁸

⁷ See, Mr. Safonov's Certification of March 7, 2017, filed with this Commission as Appendix "1" to Petition for Leave to Supplement Exceptions of Complainants to the Initial Decision Issued in This Proceeding by the Presiding Officer on January 17, 2017 (Document 26 on FMC Docket No.: 16-16 at paragraph "8").

⁸ See, Mr. Safonov's Certification of April 13, 2016, filed with this Commission as Appendix "D" to Complainants' response to the Commission's Order to Show Cause why the Complaint Should Not be Partially Dismissed (Document 9 on FMC Docket No.: 16-16, at paragraph "6").

In his deposition, Mr. Safonov additionally explains that MTL shipped and delivered the subject vehicles to his companies in Dubai:

Q. So let's focus on the 2006 Mercedes SL65 and the 2011 Porsche, the vehicles that are the subject of your third-party complaint. Did there come a time when you physically saw these vehicles?

A. I don't remember exactly, but it was in the fall, maybe September or October, of 2013.

Q. How did it come about that these vehicles ended up in Dubai?

A. I don't remember.

Q. But you remember looking at these vehicles; correct?

A. Yes, I remember. I paid for the repairing of those cars and I paid customs duties for those cars.

See, Appendix "B", at ¶ 72.

V. MTL Continues To Pivot On Its Position As To The Disposition of Complainants' Vehicles

The Commission may additionally recall that throughout this litigation and the related litigation in the U.S. District Court for the Eastern District of New York, respondents have continually pivoted on their position as to whether the subject vehicles were simply delivered (or as we claim misdelivered) to Dubai, or sold pursuant to a maritime lien.

The Commission may further recall that in addition to having claimed to have sold the subject Mercedes in order to recover "outstanding debts owed by plaintiffs" as set forth above, respondents and claimed to have asserted a lien upon the Mercedes for "prior debts" pursuant to clause "15" of MTL's Bill of Lading. See, Complainants' Brief in Support of their Exceptions at p. 27. See also, Complainants' Motion For Leave To File A Response/Reply To Respondents' Reply To Petition For Leave To Supplement Exceptions, a page "2".

Third Party Plaintiffs’ Supplemental Statement of Disputed Material Facts in the matter of *World Express, supra*, explains, at paragraph “73” thereof as follows:

Solovyev changed his story about owning the vehicles for a third time, and during the FMC proceeding, and he represented that the cars were imported to Dubai at the request of a customer. Specifically, it has recently been ascertained through the assistance of Mr. Safonov and MEAA that defendant Solovyev herein had testified, on November 20, 2015 in the FMC proceeding that with respect to the Porsche and Mercedes, that he was shipping them as part of “a business for one of the customers in [the] U.S.A. [who asked Solovyev] to sell them in Dubai...” and that “It was a customer who was shipping [the Porsche] and Mercedes...”.

See, Appendix “A”, at ¶ 73.

Plaintiff/Third-Party Defendants’ Counter-Statement Response to Defendants/Third-Party Plaintiffs’ Statement of Material Facts in the matter of *World Express, supra*, explains, at paragraph “73” thereof as follows:

Denied. The shipping documents speak for themselves: they name MEAA as the consignee— the only entity lawfully entitled to receipt of the vehicles. See MAERSK like Bill of Lading at Ex. “3”. Additionally, the response in #72 above is incorporated here.

It would appear that with regard to respondents’ reliance upon the MAERSK Bill of Lading in support of their explanation that MEAA was “the only entity lawfully entitled to receipt of the vehicles”, that this would constitute a departure from their prior reliance upon MTL’s House Bills of Lading, which we again respectfully submit brings the issue of respondents’ misdelivery of the cars squarely within the jurisdiction of the Commission.

CONCLUSION

In closing, this information may affect the outcome of the Commission’s rulings on Complainants’ Exceptions to the Presiding Officer’s Initial Decision, and it is noted that the Federal litigation in the matter of World Express, supra is still ongoing. Consequently the foregoing is respectfully submitted as a ‘change in status’ of this case with regard to the issue of the Presiding Officer’s finding that Complainants failed to establish that a contract of carriage existed between the parties for the ocean transport of the aforesaid Mercedes.

As explained above, MTL has now admitted, *for the first time*, that it neither sold, confiscated nor disposed of the subject vehicles. There is no assertion by respondents that the vehicles were converted “.... rather, these vehicles were shipped and delivered to the Crocus parties, namely Mr. Safonov” and his company MEAA, which MTL asserts was “lawfully entitled to receipt of the vehicles” - - as stated above, this is contradicted by MEAA’s owner, Mr. Safonov who explains that MEAA never purchased nor owned these cars and that MEAA’s only involvement with this vehicle was repair and storage in Dubai.

Last, and as explained above, during discovery in an FMC proceeding (to wit: FMC Docket No.: 15-04 captioned as *Crocus Investments, LLC et al. v. Marine Transport Logistics, Inc. et al.*), respondent, Solovyev testified in a deposition with regard to the cars that: “It was a customer who was shipping [the Porsche] and Mercedes...”. It is respectfully submitted that there is no evidence that complainants herein ever knew MEAA and/or Mr. Safonov nor that complainants nor Mr. Safonov ever requested that the cars be delivered to “...the Crocus parties, namely Mr. Safonov”.

All of the foregoing is respectfully submitted as a ‘change in status’ of this case, so as to inform the Commission as same may reflect upon or be determinative of the pending Exceptions.

As always, complainants thank the Commission for its many continuing courtesies and considerations in this case.

Dated: July 4, 2019
New York, New York

Respectfully Submitted,

A handwritten signature in black ink, appearing to read 'Marcus A. Nussbaum', written over a horizontal line.

Marcus A. Nussbaum, Esq.

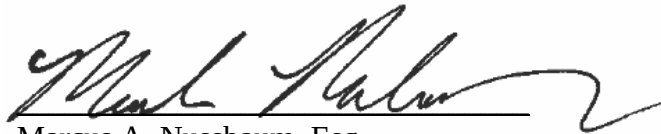
CERTIFICATE OF SERVICE

I hereby certify that I have this day served the **COMPLAINANTS' STATUS REPORT and APPENDIX** upon Respondents' Counsel at the following address:

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by first class mail, postage prepaid, and by email to: PeterCipparulo@cipplaw.com, and garry.pogil@gmail.com.

A handwritten signature in black ink, appearing to read "Marcus A. Nussbaum", written over a horizontal line.

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